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2.5 Control Equivalence Register

Every control in the lending process: what changes, what replaces it, what evidence it leaves, and second line's decision

Deliverable	2.5 Control equivalence register for the target-state design
Version	0.6 – all 28 controls classified and the five substantive equivalence cases drafted (Week 9). Reviewed incrementally with second line from Week 9; v1.0 when every entry carries a second-line decision (Week 12, Design Authority sitting)
Derived from	1.6 control inventory (C0–C27, source classification from WS-13); 2.1 DP-02, DP-03; 2.3 disposition register and DDR-001 to DDR-012; 2.4 rule sets and PQ-001 to PQ-005
Owner	WS2 Credit Policy, DA & Controls (Credit Risk and Controls Specialist)
Signed by	Senior Operational Risk Manager (second line) per entry; Head of Credit Risk Policy for policy-dependent entries; noted by Internal Audit
Rule	DP-03: no to-be map is approved while it eliminates or automates a control without a signed entry here. Regulatory controls are retained in every option; only their mechanism may change.

1. How the register works

1.1 Change classes

Each of the 28 controls from 1.6 is assigned one class. Only two classes require a formal equivalence judgement; the others require second line to confirm the classification.

Code	Class	Meaning	Second-line action
RT	Retained	Same control, same mechanism, same evidence; possibly relocated within a component without changing timing	Confirm classification
ST	Strengthened	Same objective; mechanism changes from manual or undocumented to system-applied with recorded evidence; the to-be is demonstrably at least as effective	Confirm that the new evidence is sufficient
AU	Automated, like for like	Same check, performed by the platform instead of a person, producing equivalent evidence	Confirm evidence equivalence; agree exception handling
RL	Relocated	Control moves earlier or later in the flow; same mechanism; timing change must not weaken it	Judge the timing change
EQ	Replaced with equivalence	The as-is control is bypassed or removed for a defined population; a different control or set of controls provides equivalent assurance	**Formal equivalence judgement** (section 3)
PQ	Policy question	The change is not an equivalence question but a change to what policy permits; routed to Credit Risk Policy; as-is control retained until answered	Note; sign only after policy decision

1.2 Second-line acceptance criteria (from the Week 2 interview; to be confirmed in writing by second line)

An EQ entry is accepted when all of the following are shown:

1. **Objective preserved.** The risk the as-is control addressed is named and the replacement addresses the same risk for the same population.
2. **Evidence at least as good.** The to-be produces evidence that is recorded, attributable, timestamped and reportable; manual evidence is not replaced by weaker system evidence.
3. **Population bounded.** The deals to which the replacement applies are defined by rule on system-held data; exclusions are explicit; anything outside the population follows the as-is control.
4. **Detective control present.** Where a preventive control is relaxed, a detective control (sampling, cohort MI, exception reporting) with a defined rate, owner and escalation is in place from day one.
5. **Reversible.** The replacement can be suspended for a population or segment without system change if findings warrant it.
6. **Regulatory untouched.** No regulatory control's capture, timing or definition is changed, and protected fields (1.8 §6) are preserved.

1.3 Entry lifecycle

Status	Meaning
Drafted	Entry written by WS2 from 2.3 / 2.4
Reviewed	Discussed with second line; conditions or questions recorded
Conditional	Accepted subject to named conditions (e.g. sampling rate, policy answer, data availability)
Accepted	Signed by second line; design may proceed
Refused	As-is control retained in the to-be; design amended; recorded as a Phase 4 improvement candidate

2. Register · all controls

Ref	Control objective (1.6)	Source (WS-13)	As-is mechanism	To-be mechanism (2.3 / 2.4)	Class	Evidence in to-be	CE entry	Status	Second-line note
C0	Only viable enquiries progress	PRC	RM judgement, unrecorded	Pre-screen rule RS-14 at SC-1b S2; outcome and reason code recorded	ST	Rule result; reason code; decline MI	CE-006	Drafted	Confirms conduct evidence for RR-07
C1	Correct customer and all parties identified	POL / REG (KYC)	Manual search; parties by RM	CIF match at SC-1b S3; party completeness rule at SC-1a S4	ST	CIF match ID; completeness result	CE-007	Drafted	KYC element unchanged (performed in CIF, not BLP)
C2	Submission contains required analysis	POL	"If required"; off-platform	RS-04 items matrix by route; presence enforced at SC-2 S2; analytics on platform or integrated	ST	Items present; dates; integration results	CE-008	Drafted	Reduced items on R-FAST are part of CE-001
C3	Deal complete and consistent before submission	SYS / PRC	Manual validation	Submission standard as system rules (SC-2 S2)	ST	Rule pass per item	CE-008	Drafted	
C4	Facility documents match terms	PRC / AUD	Manual check	Letter generated from terms; reconciliation on return (SC-3 S3)	AU	Generation log; reconciliation result; wet-ink manual check retained	CE-004	Drafted	Template change control is the compensating control
C5	Approval only by sufficient authority	POL	Manual matrix reading	Automated determination RS-05 at SC-2 S3; level and rule version recorded; override with reason	ST	Required level; approver level; matrix version	CE-009	Drafted	Breach impossible by construction; attempted breaches logged
C6	Independent Credit assessment outside authority	POL	Credit assesses every deal routed	Retained for R-FULL; **bypassed for R-FAST renewals (CE-001) and administrative variations (CE-003)**; sampling	EQ	Route evidence; sampling results; cohort MI	CE-001, CE-003	Reviewed	Formal judgement; CE-001 also PQ-001
C7	Distress identified and referred	POL	Assessor screen after full assessment	RS-11 flag at SC-1a S3 (earlier); assessor judgement retained at SC-2 K1	RL	Flag result and indicators; assessor note	CE-005	Drafted	Earlier and additive; indicator data gaps noted
C8	Returned letter valid and matches issued	POL / AUD	Manual check by segment-dependent role	E-signature identity and completeness system-evidenced; reconciliation automated; wet-ink retains manual check (RS-13)	AU	Signature certificate; reconciliation	CE-004	Drafted	Timing control (reset) is CE-002

C9	Conditions precedent satisfied before fulfilment	POL	Single flag	Itemised CP checklist from conditions; each evidenced (SC-3 S5, R1)	ST	Per-item evidence	CE-010	Drafted	
C10	Security perfected / released before fulfil / remove	POL / REG	LS marks complete	Retained; registration evidence attached; removal sequence corrected (TB-P3R)	RT	Registration evidence; sequence timestamps	—	Drafted	Sequence correction strengthens
C11	Fulfilment matches approved terms	POL / AUD	Manual set-up from BLP	Retained; task from gates; terms flow by integration where available (Programme scope)	RT	Task; fulfilment confirmation	—	Drafted	Four-eyes retained until integration
C12	Balance repaid before removal	POL	RM confirms	System balance check at TB-P3R S1; shared-security check	ST	Balance at check; result	CE-011	Drafted	
C13	Credit authority on CAP referral	POL	Sequential before SBS	Retained; parallel with C14 where CAP policy allows	PQ	Decision; timing	PQ-002	Routed	Not an equivalence question
C14	SBS categorisation	POL	SBS review	Retained; on referral record	RT	Categorisation data	—	Drafted	
C15	Forbearance assessed and recorded	**REG**	SBS; batch status	Retained; same step; batch logic becomes native with cut-over reconciliation	RT	Assessment record; status with audit	—	Drafted	Protected F10; parallel run at cut-over
C16	Strategy documented before recovery action	POL	Off-platform memo	Structured on-platform memo (P5 B3)	ST	Structured fields; version	CE-012	Drafted	
C17	ERV, provisions, write-offs accurate	**REG**	SBS entry	Retained; validation rules on entry	RT	Fields; validation log	—	Drafted	Protected F11
C18	CAP Strategy approved by SBS authority	POL	Manual	Authority determination as C5 (RS-05)	ST	Level recorded	CE-009	Drafted	
C19	Allocation within pre-approved limit	SYS	Manual arithmetic	System enforcement Σ ≤ limit (SC-2 S1)	ST	Calculation; block on exceed	CE-013	Drafted	
C20	Decline communicated with required information	REG / POL	Undefined	Templated communication with reason code (EX-A)	ST	Template; reason; sent	CE-006	Drafted	Conduct
C21	Appeal independently reviewed	POL	Undefined	Independent reviewer assigned by rule (EX-A)	ST	Reviewer ≠ assessor; outcome	CE-006	Drafted	
C22	Post-approval change materiality	PRC	None	RS-12 rule (EX-C)	ST	Fields changed; class; route	CE-014	Drafted	New control replacing undefined practice
C23	Security documents reflect approved terms	POL	Manual instruction	Instruction generated from conditions (SC-3 S4)	ST	Instruction content = conditions	CE-010	Drafted	
C24	Stale deals re-originated (90 days)	POL / PRC	Batch reset	Workflow timer with warnings; reset with reason (OP-12)	AU	Warnings sent; reset reason	CE-015	Drafted	Intent retained; warning added
C25	Waiver expiry enforced	POL	Batch	Native covenant lifecycle with RM task (OP-24)	AU	Status; task	CE-015	Drafted	Release 2
C26	Officer-code integrity	SYS	Mass batch, no audit	Ownership transfer with audit trail (P5 S2; OP-26)	ST	Transfer record	CE-016	Drafted	Supports C27

C27	Corporate restricted access	**REG**	BLP views	Retained; requirement DD-10	RT	Access log	—	Drafted	Compliance confirms model
C8-T	Staleness of approval (3-month reset)	POL / PRC	Hard reset at 3 months unreturned	Graduated control EX-E (RS-08)	EQ	Chase; extension reason; re-validation	CE-002	Reviewed	Formal judgement

C8-T is the timing element of C8, separated because it is the only part of C8 that changes class. Source classification per WS-13; where WS-13 is pending, 1.6 hypothesised class shown.

Summary

Class	Count	Controls
Retained	7	C10, C11, C14, C15, C17, C27 (+ C13 pending PQ)
Strengthened	15	C0, C1, C2, C3, C5, C9, C12, C16, C18, C19, C20, C21, C22, C23, C26
Automated like for like	4	C4, C8, C24, C25
Relocated	1	C7
Replaced with equivalence	2	C6 (two populations: CE-001, CE-003); C8-T (CE-002)
Policy question	1	C13 (PQ-002)

All four regulatory controls (C15, C17, C27; KYC element of C1) are Retained or Strengthened with capture and timing unchanged. The formal equivalence judgements are three: CE-001, CE-002, CE-003.

3. Equivalence entries · formal judgements

CE-001 · Independent Credit assessment (C6) bypassed for RS-01-eligible renewals EQ · DDR-001 · linked PQ-001 · Status: Reviewed	
Risk addressed by as-is	A renewal is approved without an independent judgement that the credit remains acceptable; deterioration in the customer, sector or security is missed at the review point.
Population	Renewals where every RS-01 condition holds at evaluation: no change to any term; grade within band and not stale; no downgrade in 12 months; covenants compliant; no RS-11 flag; no arrears; no EPR in 12 months; not excluded by sector / product; exposure within ceiling; at most two consecutive fast-tracks. Everything else follows R-FULL with the failing condition recorded.
Replacement controls	**Preventive:** (a) RS-01 evaluated by platform on system-held data, result and inputs recorded; (b) structural-change validation blocks any term change from P2; (c) automated DA determination (RS-05) with recorded authority level; (d) RS-04 reduced items enforced, including current grade and covenant status; (e) RS-01 c.12 forces a full review at least every third cycle; (f) RS-11 flag excludes any connection with an indicator. **Detective:** (g) Credit post-approval sampling of R-FAST approvals at 10% initially, risk-weighted, floor 5%, with findings categorised and fed to thresholds; (h) quarterly cohort MI comparing 12-month downgrade, arrears and referral rates for fast-track vs. full-review renewals; (i) segment suspension trigger at a 5% finding rate.
Evidence	Per deal: rule version, each condition's input and result, route, approver and level, items present. Per month: sampling results. Per quarter: cohort outcome MI to Head of Credit and Risk Committee.
Residual risk	Deterioration between grade reviews not captured by RS-11 indicators (e.g. sector shock without arrears). **Mitigation:** grade age ≤ 15 months (c.4); downgrade check (c.5); sampling weighted to band-edge grades; Credit Risk may add sector overlays to RS-11 at any time without system change.
Acceptance criteria test	1 objective preserved ✓ (same risk, defined population) · 2 evidence ✓ (recorded, attributable) · 3 population bounded ✓ (rule on system data; RM may only force R-FULL) · 4 detective ✓ (sampling, cohort MI, suspension) · 5 reversible ✓ (suspension by segment is a rule-table change) · 6 regulatory ✓ (F06 grade capture unchanged; refresh rule added).
Dependencies	PQ-001 (authority): if refused, this entry is withdrawn and R-FAST retains Credit assessment with a reduced submission. PQ-004 (thresholds). A2 cohort evidence at G1.
Second-line conditions (to record)	[Sampling rate and weighting; cohort MI format; suspension trigger; grade-age maximum; review after two quarters]
Decision	Reviewed W9; decision at W11 sitting after PQ-001

CE-002 · Three-month unreturned-letter reset replaced by graduated staleness control EQ · DDR-005 · Status: Reviewed	
Risk addressed by as-is	A facility is documented and fulfilled on an approval whose basis has changed in the interval (customer position, security, terms), because too long has elapsed since the decision.
Population	All deals in SC-3 awaiting a returned letter; any pattern.
Replacement controls	**Preventive:** (a) automated chase at 2, 4, 8 weeks with timestamps; (b) RM extension at 10 weeks with reason code, visible to line; (c) at 3 months, platform re-validation of the facts the approval depended on: grade unchanged or improved; no RS-11 flag; no arrears; terms, security, parties unchanged; any failure resets to SC-2; (d) reset at 6 months regardless; (e) material change at any time (RS-12) resets. **Detective:** (f) monthly MI on letters outstanding > 8 weeks, extensions granted, re-validations passed / failed, resets.
Evidence	Chase log; extension reason; re-validation record with each fact's value at 3 months; reset reason.
Residual risk	A change not captured by the re-validation items. **Mitigation:** item list owned by Credit Risk Policy and extendable; 6-month hard stop; the as-is control had no re-validation at all, only a reset, so the to-be examines more, not less.
Acceptance criteria test	1 ✓ · 2 ✓ (chase and re-validation evidence where none existed) · 3 ✓ · 4 ✓ (monthly MI) · 5 ✓ (schedule is a rule table) · 6 ✓ (no regulatory field).
Dependencies	Platform timers and status (G1 decision 3); RS-08 item list agreed.
Second-line conditions (to record)	[Re-validation item list; whether 6 months may be shortened for New Money]
Decision	Reviewed W9; decision at W11

CE-003 · Independent Credit assessment (C6) bypassed for administrative variations EQ · DDR-009 · Status: Reviewed	
Risk addressed by as-is	A change that affects credit risk is made without Credit seeing it, because it was presented as administrative.
Population	Variations whose reason codes are all in the RS-03 R-FAST set (V-01, V-02, V-10; V-05 subject to PQ-003) and no RS-11 flag.
Replacement controls	**Preventive:** (a) reason code mandatory at SC-1a; (b) most-material-wins combination rule: any R-FULL reason forces R-FULL; (c) V-12 "other" always R-FULL; (d) line approval with recorded reason and authority (RS-05, RS-13); (e) letter, security and fulfilment gates set by reason so an administrative code cannot produce a term change in documents. **Detective:** (f) Credit sampling weighted to V-02 and V-10; (g) exception report of any administrative variation that changed a monitored field (limit, rate, maturity, security, party) in the same period; (h) segment suspension as CE-001.
Evidence	Reason codes; route; approver and level; field-change log vs. reason.
Residual risk	Mis-coding to obtain the fast route. **Mitigation:** field-change exception report (g) detects it mechanically; sampling targets the codes most open to misuse; repeat findings by individual escalated through line.
Acceptance criteria test	1 ✓ · 2 ✓ · 3 ✓ (codes on system data) · 4 ✓ (sampling + mechanical exception report) · 5 ✓ · 6 ✓.
Dependencies	RS-03 taxonomy agreed (W9); PQ-003 on V-05.
Decision	Reviewed W9; decision at W11

4. Equivalence entries · strengthened, automated and relocated controls

Shorter entries: second line confirms that the new evidence is sufficient and that exception handling is defined.

CE	Controls	To-be mechanism	Evidence	Exception handling	Status
CE-004	C4, C8	Letter generated from approved terms; reconciliation on return; e-signature identity	Generation log; reconciliation pass / fail; signature certificate	Wet-ink path keeps manual C8 by RS-13 role; template change control with four-eyes; reconciliation failure blocks G-DOC	Drafted
CE-005	C7	RS-11 flag at deal start; assessor judgement retained	Flag result and indicator values; assessor note	Indicator data gaps (arrears integration) → condition conservative; flag false-negatives mitigated by retained judgement	Drafted
CE-006	C0, C20, C21	Pre-screen rule with reason; templated decline; independent reviewer by rule	Reason codes; template sent; reviewer ≠ assessor	Rule override by line with reason; appeal window configurable	Drafted
CE-007	C1	CIF match; party completeness rule	Match ID; completeness result	No match → manual create with four-eyes; KYC remains in CIF	Drafted
CE-008	C2, C3	RS-04 items enforced at submission	Items present with dates	Item unavailable → Credit may waive with reason (recorded)	Drafted
CE-009	C5, C18	Automated authority determination from DA matrix as data	Required level; approver level; matrix version; override reason	Matrix maintenance under Credit Risk Policy change control; determination failure → Credit queue (safe default)	Drafted
CE-010	C9, C23	Itemised CPs from conditions; security instruction from conditions	Per-item evidence; instruction content	Condition not expressible as item → manual item with evidence upload	Drafted
CE-011	C12	Balance check; shared-security check before release	Balance value; check result	Balance data unavailable → manual confirmation with four-eyes	Drafted
CE-012	C16	Structured memo	Fields; version	Narrative sections retained for judgement	Drafted
CE-013	C19	Limit arithmetic enforced	Calculation; block	None needed (hard stop)	Drafted
CE-014	C22	RS-12 materiality rule	Fields changed; class	Unclassified field → material (safe default)	Drafted
CE-015	C24, C25	Timers replace batch; warnings; native lifecycle	Warnings; reset reason; task	Cut-over reconciliation of batch state to native status	Drafted

CE-016	C26	Ownership transfer with audit; bulk with approval	Transfer record	Bulk transfer requires line approval; Corporate transfers checked against C27	Drafted

4.1 Regulatory controls · statement for second line and Internal Audit

Control	Field groups	Capture point as-is	Capture point to-be	Timing	Cut-over
C15 Forbearance	F10	CR-2 S7; batch status	P5 B2; native status logic	Unchanged	Parallel run; status reconciliation
C17 ERV / provisions / write-offs	F11	CS-2 S4	P5 B4 with validation	Unchanged	Field-level reconciliation
C27 Corporate access	—	BLP views	Platform access model (DD-10)	n/a	Access model tested before migration
C1 (KYC element)	F01, F02	CIF	CIF (unchanged); BLP pull-through	Unchanged	n/a

5. Review schedule and sign-off

Week	Sitting	Entries	Outcome sought
9	Second-line review 1	CE-006 to CE-016 (strengthened / automated); classification of all 28	Classifications confirmed; evidence sufficiency agreed; conditions noted
9	Second-line review 2	CE-001, CE-002, CE-003 first reading; CE-004, CE-005	Questions and conditions recorded; data needs (A2 cohort) confirmed
10	Credit Risk Policy	PQ-001 to PQ-005	Policy answers; CE-001 / CE-003 dependencies resolved
11	Second-line review 3	CE-001, CE-002, CE-003 decision; conditional entries closed	Accepted / Conditional / Refused recorded
12	Design Authority	Register v1.0	Signed; 2.3 approved against DP-03

5.1 Sign-off

Role	Entries	Name	Signature	Date
Senior Operational Risk Manager (second line)	All			
Head of Credit Risk Policy	CE-001, CE-003, CE-009; PQ-001 to PQ-005			
Head of MI & Regulatory Reporting	Regulatory statement (§4.1)			
Head of Internal Audit (noted)	All			
Head of Lending Operations (Design Authority Chair)	Register v1.0			